



On 20th March 2023, Nifty reached near to its demand zone and stayed in consolidation for a few days. If you notice, there were candles with lower rejection, meaning the market is interested in moving up as buyers are pushing the price higher.

See, price is consolidating because of accumulation and distribution between institutions and retailers. This consolidation indicates fresh buying by big players. Once the price opened gap up, you can see how it started to advance. Our entry is triggered above the green candle after a gap up and we have placed the stoploss at the low of the gap.

The aimed target is the previous swing high. However, the market created two swing highs, and ideally, the trade should have been closed on 17th April but the major supply zone was at the 18000 level. Since, the market was extremely bullish, it was easy for the price to break the 17800 level. With this strategy, we almost booked a profit of almost 1:3.

